Senco Gold Ltd (NSE: SENCO): Initiating coverage

> **Rating: Buy. Target price: Rs 449, 42% above the price of Rs 317.40 on 1 October 2026.**
>
> Market value Rs 5,199.22 cr; enterprise value Rs 7,381.69 cr; 163.81 mn shares. Senco trades at 7.5x FY26 EV/EBITDA and 9.1x FY26 P/E, against peer medians of 23.4x and 40.4x.
>
> The target method is set out under Valuation. All figures are Rs crore, consolidated, March year-end, unless marked.

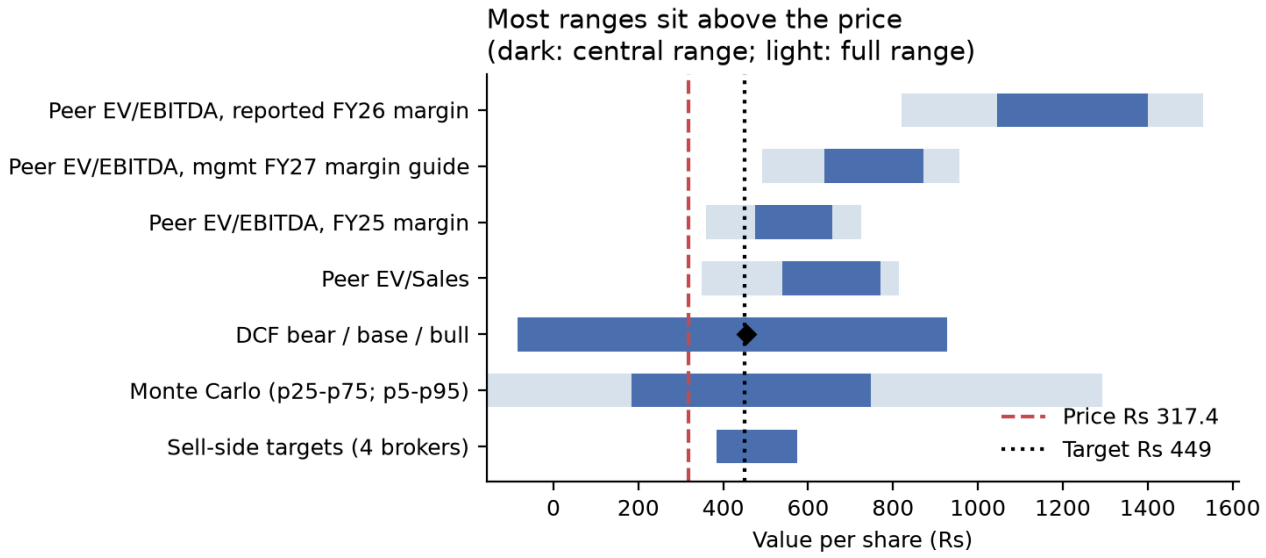
Investment summary

The price sits below management's own plan. On management's growth path and a 11.00% WACC, the price of Rs 317.40 is justified by an EBITDA margin of 7.64%, inside management's sustainable guide of 7.5% to 7.8% (Q1FY27 call, p.5-6).[2] Holding margins at plan, the price needs same-store growth of 8.16% a year against 12.0% guided, or a WACC of 11.60%. The market is not pricing a collapse; it doubts the plan and discounts the cash burn. Listed peers trade at 15.9x to 27.7x EV/EBITDA; Senco trades at 7.5x.

The discount is about cash, and the cash problem is real. Operating cash flow was negative in every year from FY22 to FY26, a total of -1,181.78. Closing inventory days rose from 143 in FY21 to 229 in FY26. In our base case, built mostly from Senco's own FY22-FY26 medians, free cash flow is -2,732.39 over FY27-FY31 and debt/equity reaches 0.82x. Growth is funded by lenders, suppliers and customers.

Management delivers on revenue, less so on store openings. Of 60 guidance statements we could score against a reported number, 39 were met or beaten (65.0%). Revenue growth guidance was met 15 of 16 times and EBITDA margin guidance 9 of 11. Showroom additions were met 5 of 13 times, and profit growth guidance 0 of 3.

Our view. We value Senco on the lowest peer multiples, applied to FY26 revenue at management's sustainable margin guide of 7.65%. That gives Rs 449, inside the sell-side range of Rs 385 to Rs 575. We do not set the target on the DCF: free cash flow is negative through FY31 in all three cases, so almost all the value sits in the terminal year and small changes move it a lot.



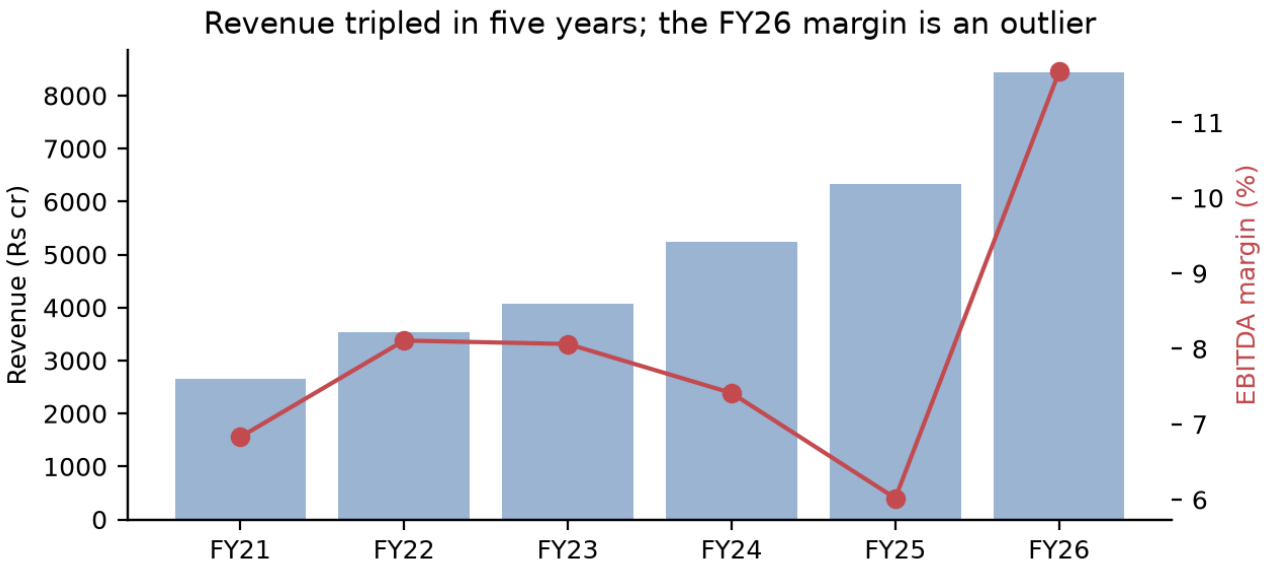
The company

Senco Gold sells gold and diamond jewellery through company-owned and franchise showrooms. Management says 65% to 70% of the business comes from Eastern India and West Bengal, and new stores will be mostly franchise, focused on East and North India (Q1FY27 call, p.2-3).[2] Its longer-term target is revenue above Rs 20,000 cr and 300+ stores in four to five years (Q1FY27 call, p.16).[2]

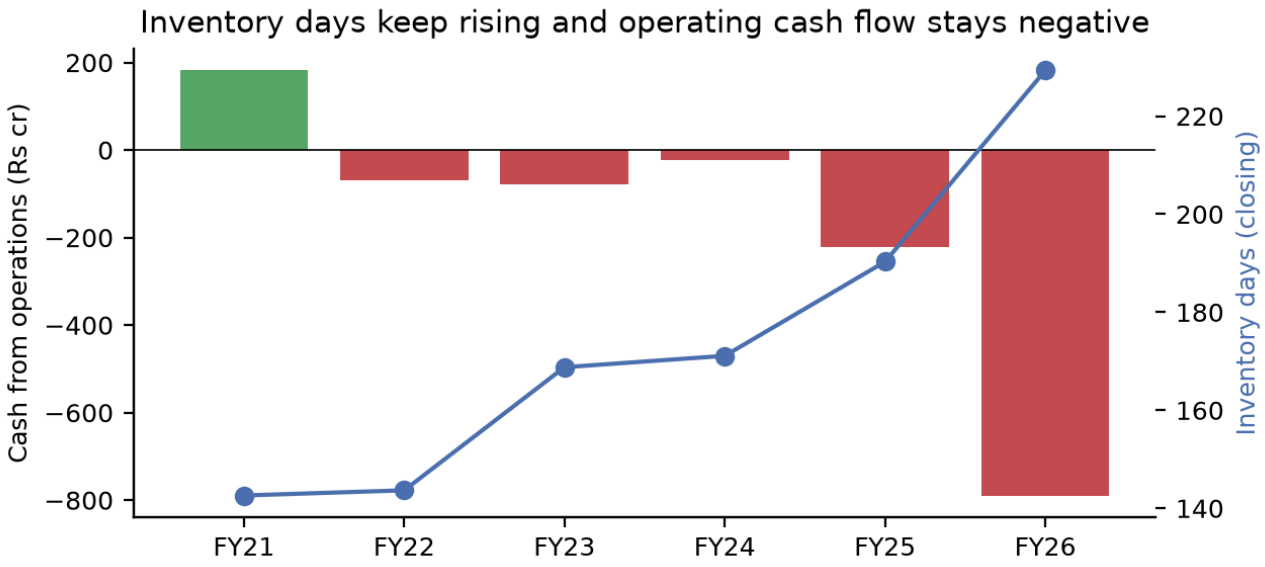
	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	2,660.38	3,534.64	4,077.40	5,241.44	6,328.07	8,430.03
Revenue growth		32.9%	15.4%	28.5%	20.7%	33.2%
EBITDA margin	6.8%	8.1%	8.1%	7.4%	6.0%	11.7%
Net margin	2.3%	3.7%	3.9%	3.5%	2.5%	6.8%
ROE	10.2%	17.8%	17.0%	13.3%	8.1%	22.8%
Inventory days (closing)	143	144	169	171	190	229
Cash from operations	181.83	-69.89	-78.20	-23.22	-221.20	-789.27

Source: Screener.in consolidated export; ratios from `senco/financials.py`.[1]

Revenue grew 25.9% a year from FY21 to FY26. The FY26 EBITDA margin of 11.7% is an outlier. Gold prices rose sharply that year and Senco holds inventory for months, so part of the margin is a gain on stock. Management itself guides to a sustainable margin of 7.5% to 7.8% (Q1FY27 call, p.5-6).[2] It said the Q1FY26 margin included 1.5 to 2 points of inventory gains (Q1FY27 call, p.6).[2]



At FY26, borrowings were 2,699.11 and cash 516.64, so net debt was 2,182.47, or 0.87x equity. Screener's borrowings include gold metal loans and lease liabilities (FY26 annual report, p.278-279 and p.325).[3] We treat both as debt.



Industry

A large market moving to organised players. Indian retail jewellery was worth about Rs 8.3 trillion in FY25, after growing 16.7% a year from FY19; BOB Capital Markets forecasts 10% to 12% a year to FY29.[9] It puts the organised share at 30% to 35% in FY19, 37% to 42% in FY25 and 44% to 49% by FY29.[9] Senco's own presentation shows a similar path, from 40% in 2025 to 50% by 2029.[10]

Rules that favour organised jewellers. BIS hallmarking became mandatory on 23 Jun 2021 and now covers 380 districts after a sixth phase in March 2026.[11] PAN has been required on purchases above Rs 2 lakh since January 2016, and GST applies since July 2017.[9] Each step raises the cost of operating outside the formal system.

Gold price and duty. Senco's reported gold price rose from Rs 9,020 a gram at 31 Mar 2025 to Rs 14,692 at 31 Mar 2026, up 63%; the FY26 average was Rs 12,111 against Rs 7,653 in FY25.[12] Import duty was cut from 15% to 6% on 24 Jul 2024 and raised back to 15% on 13 May 2026.[13][14] Duty changes move the value of jewellers' stock and the gap between official and grey-market gold.

Volumes down, value up. Indian jewellery demand fell 24% to 430.5 tonnes in 2025 while value reached a record USD 49 bn, according to the World Gold Council.[15] In April-June 2026 jewellery demand was 75.1 tonnes against 88.8 tonnes a year earlier, while value rose 50%.[16] Customers are buying lighter pieces and lower carats, and Senco is widening its 9-carat and 14-carat range (Q1FY27 call, p.3).[2] Revenue growth in this market is mostly price, not grams.

Chain	Stores	Date
Senco (120 own, 89 franchise)	209	30 Jun 2026 [10]
Kalyan Jewellers (India)	354	Q1FY27 [17]
P N Gadgil Jewellers	78	30 Jun 2026 [18]
Thangamayil Jewellery	66	Q1FY27 [19]

Senco's position. Of its 209 showrooms, 109 are in West Bengal and 32 more in the rest of the East; North has 25, and franchise showrooms bring about a third of revenue.[10] Its plan is to grow mostly through franchise

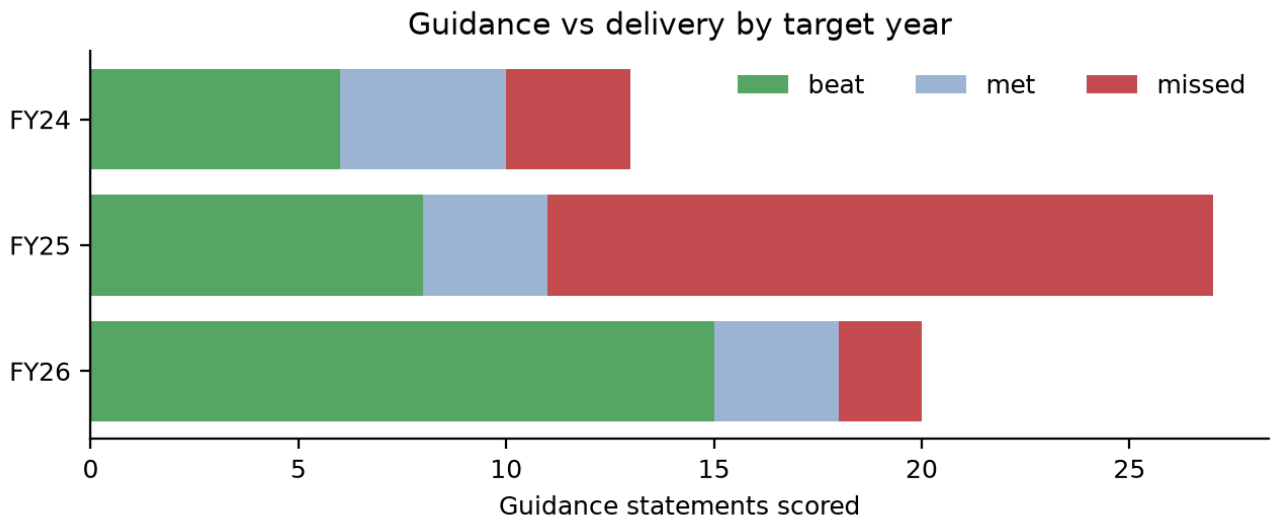
stores in East and North India (Q1FY27 call, p.3).[2] Titan (Tanishq and other brands) is the national leader, but we could not find a Tanishq-only store count, so it is left out of the table.[20]

Guidance vs delivery

We read 186 guidance statements from the 13 earnings calls between Q1FY24 and Q1FY27 and scored each against the reported result.[4] 99 are not yet due and 26 have no reported number to check. Of the 60 that could be scored, 39 were met or beaten (65.0%). Counting each metric and period once, using the latest guidance, the rate is 15 of 26 (57.7%).

Metric	Met or beaten	Scored
Revenue growth	15	16
Same-store growth	2	2
EBITDA margin	9	11
Gross margin	2	5
PAT margin	1	1
PAT growth	0	3
Showroom additions	5	13
Diamond share	0	2
Debt	1	2
Other	4	5
All	**39**	**60**

By target year: FY24 10 of 13, FY25 11 of 27, FY26 18 of 20. FY25 was the weak year: margins fell to 6.0%. In FY26 nearly everything was delivered, helped by the gold price.



What this means for the model: management's revenue guidance has been reliable, so we use it for the management case. Its margin guidance has also mostly been met, but in a rising gold market. Store-opening guidance is less reliable and does not drive value much in our model.

Forecasts

Management case

This case uses management's guidance where it exists: revenue growth of 20% to 25% for FY27 and 18% to 20% after, new stores adding 6 to 8 points, and a sustainable margin of 7.5% to 7.8% (guidance IDs G160, G123, G133 in `data/guidance.csv`).[4] Working capital follows management's inventory commentary.

	FY27	FY28	FY31
Revenue growth	22.5%	19.0%	19.0%
of which same-store growth	15.5%	12.0%	12.0%
EBITDA margin	7.65%	7.90%	8.00%
Inventory days	170	155	155
Revenue	10,326.79	12,288.88	20,708.71
Net profit	435.03	601.57	1,095.35
EPS (Rs)	26.56	36.72	66.87
ROE	16.0%	18.7%	19.5%
Debt / equity (x)	0.73	0.51	0.40
Free cash flow	586.77	369.38	-189.42

On FY27 EPS of Rs 26.56, the stock trades at 12.0x. Free cash flow over FY27-FY31 adds up to 447.58. That depends on inventory days falling from 186 in FY26 to 155 by FY28, as management plans: held at the FY26 level, the same total is -1,886.84.

Bear, base and bull

These cases come from Senco's own history, not from guidance. Each value driver takes the FY22-FY26 median in the base case, and the 25th and 75th percentiles in the worse and better direction for bear and bull. The one exception is other liabilities: the base case uses the FY26 level excluding one-off items, and the bull case the full reported FY26 level (see the working-capital section). Drivers that do not clearly help or hurt (tax rate, depreciation, capex, payout) sit at the median in all three. The rule is in `senco/cases.py`.[8]

	Bear	Base	Bull
Revenue growth	20.73%	28.55%	32.86%
EBITDA margin	7.41%	8.06%	8.11%
Inventory days	166	151	147
Other liabilities (days of revenue)	41.34	64.27	80.04
EPS FY27 (Rs)	21.57	30.11	32.94
Net profit FY31	759.94	1,454.77	1,843.28
Debt / equity FY31 (x)	1.27	0.82	0.64
Free cash flow FY27-FY31	-3,634.50	-2,732.39	-2,041.69
DCF value (Rs/share)	-83.90	454.81	928.52
Terminal value share of EV	536%	128%	108%

Free cash flow is negative in all three cases, because each rupee of new sales needs months of inventory. The bear case burns the most: it has the slowest growth but the most inventory days and the least funding from customers and suppliers. A terminal value larger than the whole enterprise value means the explicit years destroy value and the terminal year has to make it back.

The working-capital question

"Other liabilities" in Screener's balance sheet rose from 716.64 at FY25 to 1,848.71 at FY26, or from 41.34 to 80.04 days of revenue. Before FY26 the range was 35.96 to 51.09 days. This line funds inventory, so it matters a great deal. With everything else in the base case unchanged, the DCF value is Rs 164.65 at the FY22-FY26 median of 41.50 days and Rs 655.85 at the reported FY26 level.

We rebuilt the line from the FY26 annual report.[3] It is not gold metal loans, which have their own line and fell in FY26. The rise came from three places:

Rs crore	FY25	FY26
Revenue received in advance	194.81	579.37
Scheme deposits from customers	218.53	269.03
Trade payables, incl. acceptances	151.65	678.55
of which acceptances	29.43	229.47
Current tax liabilities	1.74	134.97
Total "other liabilities"	716.64	1,848.71

Customer advances and scheme deposits grow with the business and are likely to persist. The tax liability is a one-year item, and acceptances are deferred payments to suppliers that behave like short-term debt. Management gave no explanation for the advances, payables or tax figures in the annual report or the Q4FY26 call.[3] Excluding tax and acceptances, FY26 other liabilities were 64.27 days of revenue. Our base case uses this level, which gives Rs 454.81. The bull case assumes the whole FY26 rise persists (80.04 days) and the bear case that it reverses to the FY22-FY26 25th percentile (41.34 days). The H1FY27 balance sheet will show which is closer.

Valuation

Discount rate

Input	Value
Risk-free rate	7.2%
Beta	0.78
Equity risk premium	4.3%
Cost of equity	10.55%
Cost of debt (FY26 interest / average borrowings)	9.21%
Debt weight (market values)	34.2%
WACC built from these inputs	9.30%
WACC used	**11.00%**
Terminal growth	5.0%

The risk-free rate, beta and equity risk premium are Alpha Spread's, retrieved 8 Oct 2026.[5] Built from them, the WACC is 9.30%. That is low for a small, cash-burning Indian retailer, so we use 11.00% instead. The CAPM build is shown as a cross-check only. After FY31 growth fades in a straight line to the terminal rate over 10 years, with FY31 ratios held.

DCF, management case

The management case gives Rs 387.63 a share, 22% above the price. Enterprise value is 8,532.13, of which 77.4% is terminal value. The terminal value is 6.25x the final year's EBITDA, and net working capital ends at 33.4% of revenue. Across WACC within one point of 11.00% and terminal growth within one point of 5.0%, value ranges from Rs 260 to Rs 640.[8]

Reverse DCF

What does Rs 317.40 assume? Changing one driver at a time on the management case:

Driver (FY27-FY31, held flat)	Needed to justify the price	History FY22-FY26
EBITDA margin	7.64%	low 6.0%, FY26 11.7%
Same-store growth	8.16%	management guides 12.0%
Inventory days (average)	164	FY25 166, FY26 186
WACC	11.60%	used 11.00%; CAPM build 9.30%

The most plausible single answer is a higher discount rate. The price needs 11.60%, not far above the 11.00% we use.

Peer multiples

	EV/EBITDA	P/E	Inventory days	EBITDA margin
Kalyan Jewellers	23.4x	40.4x	145	7.2%
Thangamayil Jewellery	27.7x	43.0x	127	6.6%
P N Gadgil Jewellers	15.9x	20.9x	127	5.9%
Senco	**7.5x**	**9.1x**	**229**	**11.7%**

FY26 figures at prices on 1 October 2026, from the jewellery-peer-comps project.[6] Senco's reported FY26 margin flatters its multiple. The table below restates Senco's FY26 EBITDA and profit at other margins and applies the peer median and minimum.

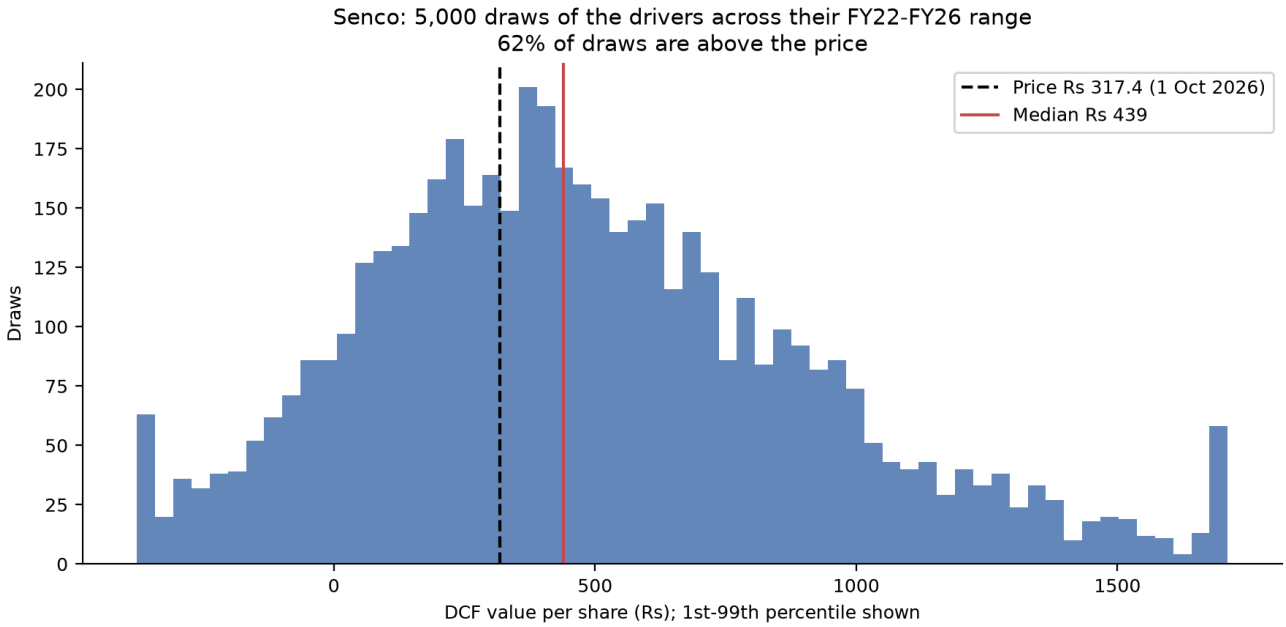
Senco margin used	EV/EBITDA, median	EV/EBITDA, minimum	P/E, median	P/E, minimum
FY26 reported (11.7%)	1,270	821	1,417	733
Management guide (7.65%)	786	492	787	407
FY24 (7.4%)	758	473	750	388
FY25 (6.0%)	590	359	531	275

Rs per share. The peer median EV/Sales of 1.67x gives Rs 728 on any margin. For the price to match the peer median EV/EBITDA, Senco's margin would have to be 3.75%; for the peer minimum, 5.51%.

Monte Carlo

We drew 5,000 combinations of the drivers, each from a triangular distribution over its FY22-FY26 minimum, median and maximum (for other liabilities the peak is the base case's 64.27 days instead of the median), with WACC within one point of 11.00% and terminal growth within one point of 5.0%.[8] The median value is Rs 439; the middle half runs from Rs 184 to Rs 748, and the 5th to 95th percentile from Rs -158 to Rs 1,293. 62% of draws are above the price and 11.4% are below zero.

The EBITDA margin explains most of the spread (rank correlation 0.85), followed by inventory days (-0.34), other liabilities (0.22) and WACC (-0.19). The drivers are drawn independently. In practice a weak margin year and a weak working-capital year tend to come together, so the true spread is probably wider.



Sell-side targets

Broker	Rating	Target (Rs)	Basis	Date
Emkay	Buy	575	21x Jun-28E EPS	13 Aug 2026 [7]
BOB Capital Markets	Buy	422	20x Jun-28E EPS	12 Aug 2026 [7]
SBI Securities	Buy	400	16x rolling EPS	29 May 2026 [7]
Motilal Oswal	Neutral	385	15x Sep-28E EPS	12 Aug 2026 [7]

All four reports came out after the 2025 share split, so their targets compare with today's price.[7] The stock was near Rs 346-347 when they were written and has since fallen to Rs 317.40.[7]

Target price

Rs 449 is the average of two values: the peer-minimum EV/EBITDA (Rs 492) and the peer-minimum P/E (Rs 407), both on FY26 revenue at management's sustainable margin of 7.65%. We use the cheapest peer because Senco carries far more inventory than any of them (229 days against 127 to 145) and has not produced operating cash flow since FY21. The target is 42% above the price, which gives a Buy under our rule: Buy above 15%, Sell below -10%, Hold between.[8]

Risks

- **Gold price.** A sharp fall hits inventory value and margins. Management says about 50% of inventory is hedged, with a plan to move to 75% to 80% (Q1FY27 call, p.16).[2]
- **Cash and working capital.** Growth needs inventory. If customer advances or supplier credit fall back to earlier levels, debt rises; see the working-capital section.
- **Margin normalisation.** The FY26 margin included gains on stock. The reverse DCF shows how much rests on the margin; it is the largest driver in the Monte Carlo.
- **Regional concentration.** Most sales come from Eastern India and West Bengal, so local events matter. The Q1FY27 call cited state elections and a heat wave (p.2).[2]

- **Subsidiaries.** The Sennes and Dubai businesses are still in a start-up phase and reduced consolidated profit in Q1FY27 (p.5).[2]
- **Discount rate.** We use 11.00%. At 11.60% the price is fair on the management case.

Catalysts

- **Q2FY27 results.** Management said operating cash flow will be disclosed with the half-year results and may look negative because of lower gold-loan borrowing (Q1FY27 call, p.16).[2]
- **Festive season.** Management expects demand to build in October and November (Q1FY27 call, p.6).[2]
- **Guidance update.** Management said it will revisit full-year guidance after Q3FY27 (Q1FY27 call, p.5).[2]

Appendix: method and sources

- Financials: Screener.in consolidated export, tied out in `senco/financials.py` with tests.[1]
- Model: `senco/model.py` (operating model), `senco/dcf.py` (DCF, reverse DCF, grid), `senco/comps.py`, `senco/cases.py`, `senco/montecarlo.py`.
- Guidance: `data/guidance.csv` and `data/delivery.csv`, each quote checked against its transcript page.[4]
- Every model figure in this report is filled from the code by `python -m senco.report`, and `python -m senco.report check` fails on any number that is neither generated nor cited.

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1. Screener.in consolidated export for SENCO, `data/raw/screener/SENCO.xlsx`, March year-ends FY14-FY15 and FY21-FY26. ↩↩
2. Senco Gold Q1FY27 earnings call transcript, 12 Aug 2026, filed with BSE on 18 Aug 2026: https://www.bseindia.com/stockinfo/AnnPdfOpen.aspx?Pname=e8803d0f-1282-454f-8050-45e4b0446d0e.pdf ↩↩↩↩↩↩↩↩↩↩↩↩
3. Senco Gold Annual Report 2025-26, https://sencogold.com/storage/files/Annual_Report_FY_202526.pdf; line items in `data/fy26_liabilities.csv` and `docs/research/fy26_liabilities.md`. ↩↩↩
4. 13 earnings call transcripts, Q1FY24 to Q1FY27, listed with BSE links in `data/transcripts/sources.csv`. ↩↩↩
5. Alpha Spread, Senco Gold discount rate page, retrieved 8 Oct 2026. ↩
6. jewellery-peer-comps, run with reference price Rs 317.4 on 1 Oct 2026; outputs in `data/comps/fy/comps.xlsx`. ↩
7. Broker reports listed with links in `docs/research/coverage.md`, checked 9 Oct 2026. ↩↩↩↩↩
8. Method and code in the appendix; all runs use the price of Rs 317.4 on 1 Oct 2026. ↩↩↩↩
9. BOB Capital Markets, retail sector report, 19 Sep 2025, p.5: https://www.barodaetrade.com/Reports/Retail-SectorReport19Sep25-Research.pdf ↩↩↩
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11. IMPRI policy note on BIS hallmarking: https://www.impriindia.com/insights/policy-update/bis-gold-hallmarking-2021-certifying-purity-and-building-consumer-trust-in-india/ ; All India Radio, 12 Mar 2026: https://www.newsonair.gov.in/govt-adds-7-more-districts-in-6th-phase-of-mandatory-gold-hallmarking ↩
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15. Business Today on the World Gold Council 2025 report, 30 Jan 2026: https://www.businesstoday.in/amp/personal-finance/investment/story/record-gold-prices-indian-bought-less-gold-jewellery-in-2025-spending-hits-record-says-report-513756-2026-01-30 ↩

16. PTI on the World Gold Council Q2 2026 report, 30 Jul 2026: https://telanganatoday.com/indias-gold-demand-falls-6-pc-in-april-june-on-weak-seasonal-demand-higher-duty-wgc ↩

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18. Angel One, 7 Jul 2026: https://www.angelone.in/news/stocks/p-n-gadgil-jewellers-share-price-in-focus-as-revenue-jumps-41-yoy-in-q1-fy27 ↩

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20. Angel One, 7 Jul 2026 (Titan's 846 jewellery stores include Mia, Zoya and beYon): https://www.angelone.in/news/stocks/titan-share-price-rises-nearly-3-on-july-7-2026-here-is-why ↩